D04 · Contract Management & Negotiation

02 · Contract types & commercial structures

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1 WHAT IT IS

Contract types and commercial structures is the discipline of matching the contract instrument to the work uncertainty — fixed-price for defined scope, time-and-materials for ambiguous scope, cost-plus for collaborative discovery, framework agreements (MSAs) for ongoing relationships, and the layered structures (MSA + SOW + PO) that scale across many transactions. The structural choice determines who carries the risk and who captures the upside.

2 WHY IT MATTERS

The contract type decision is structural — once signed, it governs how risk and reward are distributed for the life of the relationship. **The dominant failure mode is using fixed-price contracts for work whose scope is not yet defined**: the supplier prices the unknown as risk premium (high), the buyer feels overcharged for what becomes routine work, and the change-order battles consume more management attention than the original contract. The standard reference work in commercial contracts documents this clearly **(Williamson, 1985 — Transaction Cost Economics, Nobel-recognized framework)**: **contract type must match work uncertainty** — fixed-price when uncertainty is low, T&M or cost-plus when uncertainty is high, framework agreements when transaction frequency justifies relationship overhead. The asymmetry is severe because the contract type is set at signing and is expensive to change later.

3 HOW IT IS DONE

1. **Diagnose work uncertainty before choosing the contract type.** The diagnostic is: can the scope be fully specified at signing? Is the deliverable known or to-be-discovered? Are the unit volumes stable or variable? High-certainty work fits fixed-price; high-uncertainty work fits T&M or cost-plus; recurring high-volume work fits framework agreements. The wrong match is more expensive than any commercial concession.
2. **Use fixed-price for defined deliverables — and police the change-order discipline.** Fixed-price contracts are appropriate when the supplier has enough information to price without significant risk premium. They require disciplined scope freeze and a structured change-order process; without that discipline, the fixed-price contract degrades into a series of small T&M agreements that the buyer pays full premium on.
3. **Use T&M for work where scope discovery is the actual product.** Consulting engagements, complex integrations, research projects — work where the value lies in the discovery process and where forcing a fixed price would force the supplier to pad heavily. T&M with a not-to-exceed cap and structured milestones combines T&M's flexibility with cost discipline.
4. **Use cost-plus when the buyer and supplier are co-developing.** Cost-plus (cost + fee) is the right structure when the work is collaborative and the buyer needs visibility into actual costs. Common in aerospace development programs, complex capital projects, and joint R&D — but requires audit rights and the operational discipline to actually exercise them.
5. **Use framework agreements (MSA) for ongoing relationships across multiple work packages.** MSAs lock in terms and conditions once; subsequent work is contracted via SOWs or POs that inherit the MSA. Reduces transactional friction dramatically; appropriate when the buyer expects multiple transactions with the same supplier over time. The MSA itself is where the negotiation effort concentrates.
6. **Layer the structure — MSA + SOW + PO — to match transaction granularity.** The three-layer structure separates the long-term commercial relationship (MSA), the project-level scope (SOW), and the transactional commitment (PO). Each layer changes at different frequencies and is managed by different processes. The buyer who runs this layering captures both efficiency and control.

WORKED EXAMPLE — ILLUSTRATIVE

An industrial equipment manufacturer enters a long-term relationship with a specialty electronics design house — anticipated work over 3 years includes **12-15 design projects of varying complexity, ranging from $80K modifications to $1.4M full new-product designs**, plus ongoing engineering support estimated at $600K-900K/year. The procurement structure: **(1) MSA** covering IP terms, payment terms (Net 45), liability caps, dispute resolution, audit rights, exclusivity boundaries, and standard rate card for engineering hours; **(2) project SOWs** at the start of each design project, with contract type chosen by scope clarity — fixed-price SOWs for well-specified modifications, T&M SOWs (with not-to-exceed) for new product designs where scope discovery is part of the engagement, cost-plus structure for one strategic platform development where the buyer wanted full cost visibility; **(3) POs** for each milestone or monthly retainer drawing against the active SOW. Year 1 result: **$3.2M of work executed across 9 SOWs**, of which 5 were fixed-price (delivered on budget), 3 T&M (averaged 78% of NTE — the not-to-exceed cap functioned as designed), and 1 cost-plus on the strategic platform with full audit trail and 12% fee structure. **Total contracting overhead reduced ~60% vs. the prior approach of negotiating standalone contracts per project**; the supplier captures predictable relationship value; the buyer captures both efficiency and the right contract type per work package.

IN PRACTICE

Diagnose work uncertainty before choosing the instrument

Define what is known about the scope, the volume, the duration, and the technology before picking a contract type. Fixed-price for low uncertainty, T&M for high uncertainty, cost-plus for collaborative discovery — the diagnostic is the upstream decision. Picking the instrument first and fitting the work to it is the path to change-order management as a daily job.

Use fixed-price only when scope can be specified

Fixed-price transfers scope risk to the supplier — but only if the scope is actually defined at signing. Issuing a fixed-price contract over an ambiguous scope transfers nothing; it just sets up the change-order battle. The specification must be locked, the assumptions documented, and the exclusions named, or the instrument is wrong for the situation.

Cap T&M with NTE thresholds and gate reviews

Time-and-materials without a not-to-exceed cap is an open invoice. Define the NTE at the start, structure the work into phases, and gate the next phase on a review of the prior one. The discipline converts T&M from a blank check into a series of bounded commitments — which is what makes the instrument workable on real budgets.

Layer MSA + SOW + PO to match transaction granularity

Master agreement carries the legal terms; SOW carries the scope of each engagement; PO carries the commercial transaction. Conflating the three into a single contract per transaction means renegotiating legal terms each time, while collapsing all three into one MSA means scope changes get buried. The layered structure is what makes the relationship scale.

WHAT YOU WOULD USE

CLM / CONTRACT TEMPLATE LIBRARIES

Icertis, DocuSign CLM, Agiloft, Ironclad — Contract lifecycle management platforms with template libraries for each contract type, structured clauses, and review workflows — strongest when contract volume justifies the platform investment **(Icertis — vendor; DocuSign — vendor)**.

Industry-specific template libraries (IACCM/World Commerce & Contracting, AIA construction templates) — Pre-vetted contract templates by industry and contract type — substantially reduce drafting time and incorporate accumulated industry learning **(WorldCC — vendor)**.

Outside legal counsel for strategic contracts — Specialized commercial law firms for the high-stakes contracts (M&A-adjacent, IP-intensive, cross-border) where the contract type and structure decisions warrant expert review — the right investment for strategic categories, less suited for routine procurement.

Structured internal playbook — contract type decision tree by category — For operations not yet at scale — a structured internal decision framework on when to use which contract type, with example templates by category. Tooling matters less than the discipline of conscious choice.

4 SO WHAT

The wrong contract type pays all of the uncertainty as supplier premium. Diagnose work uncertainty before choosing instrument, use fixed-price only when scope can be specified, use T&M with NTE caps for discovery work, use cost-plus when co-developing, deploy MSAs for ongoing relationships, and layer MSA + SOW + PO to match transaction granularity. The plants that match contract type to work characteristics buy back the structural premium that mismatch creates.

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